

Accumulation and Distribution

Cheat Sheet





Accumulation and Distribution Patterns

There are 4 types of schematics applied to higher term timeframes and used to identify when an asset starts to range:

- Accumulation
- Reaccumulation
- Distribution
- Redistribution



Accumulation and Distribution Part I lesson (6:40)

Accumulation and **Distribution** occur at the tops and bottoms of the moves (Reversal Ranges).

Reaccumulation and **Redistribution** are continuation schematics that occur in the middle of a trend.





Accumulation Patterns

Identifying an Accumulation Pattern in its early stages allows you to predict market movements. We must pay attention to key factors to identify different stages during a trend and know where we are wrong to avoid losses.



Accumulation and Distribution Part I lesson (17:50)



The schematics are divided into 5 phases, each with labelled sections. While the names are not crucial, it is essential to recognise each phase early.

When marking out schematics in the stock market, we emphasize Volume, but we found that Market Structure is more helpful for crypto.



Phase A

PS = Preliminary Support.

PS can be identified after an extended downtrend when the buying volume starts to show up. Volume and Open interest are key as they show people are interested in buying. This is not the low, so we can expect another move to the downside.

SC = Selling Climax.

Generally known as capitulation. Fear dominates the market, and traders panic sell. Sell orders are absorbed by larger professional traders at prices of high technical confluence. This candle gives us the range low.



AR = Automatic Rally.

A rally in which is fuelled by late shorts getting liquidated. Generally, OI decreases or stays flat. The top of this rally gives us the range high.



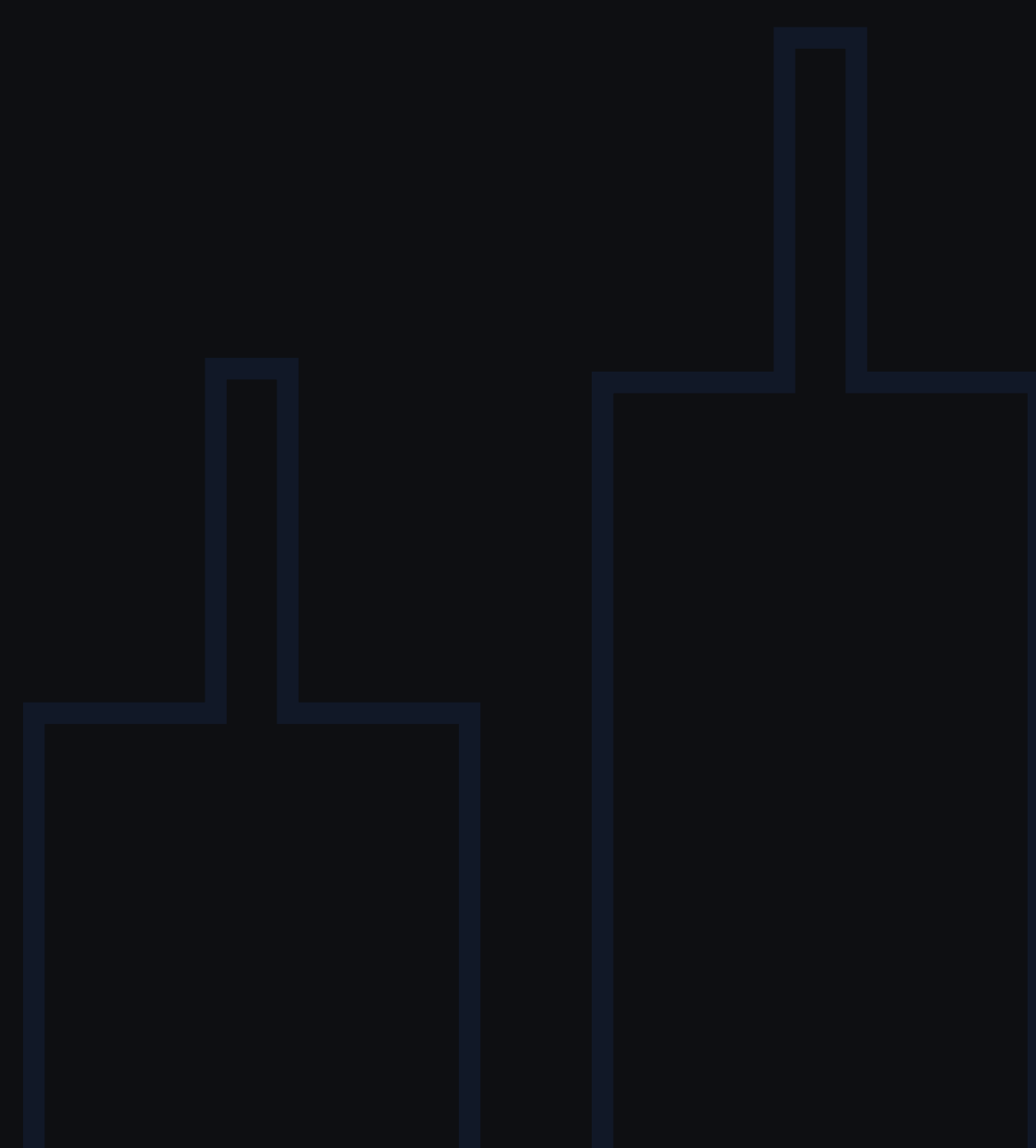
Accumulation and Distribution Part I lesson (21:54)



Phase B

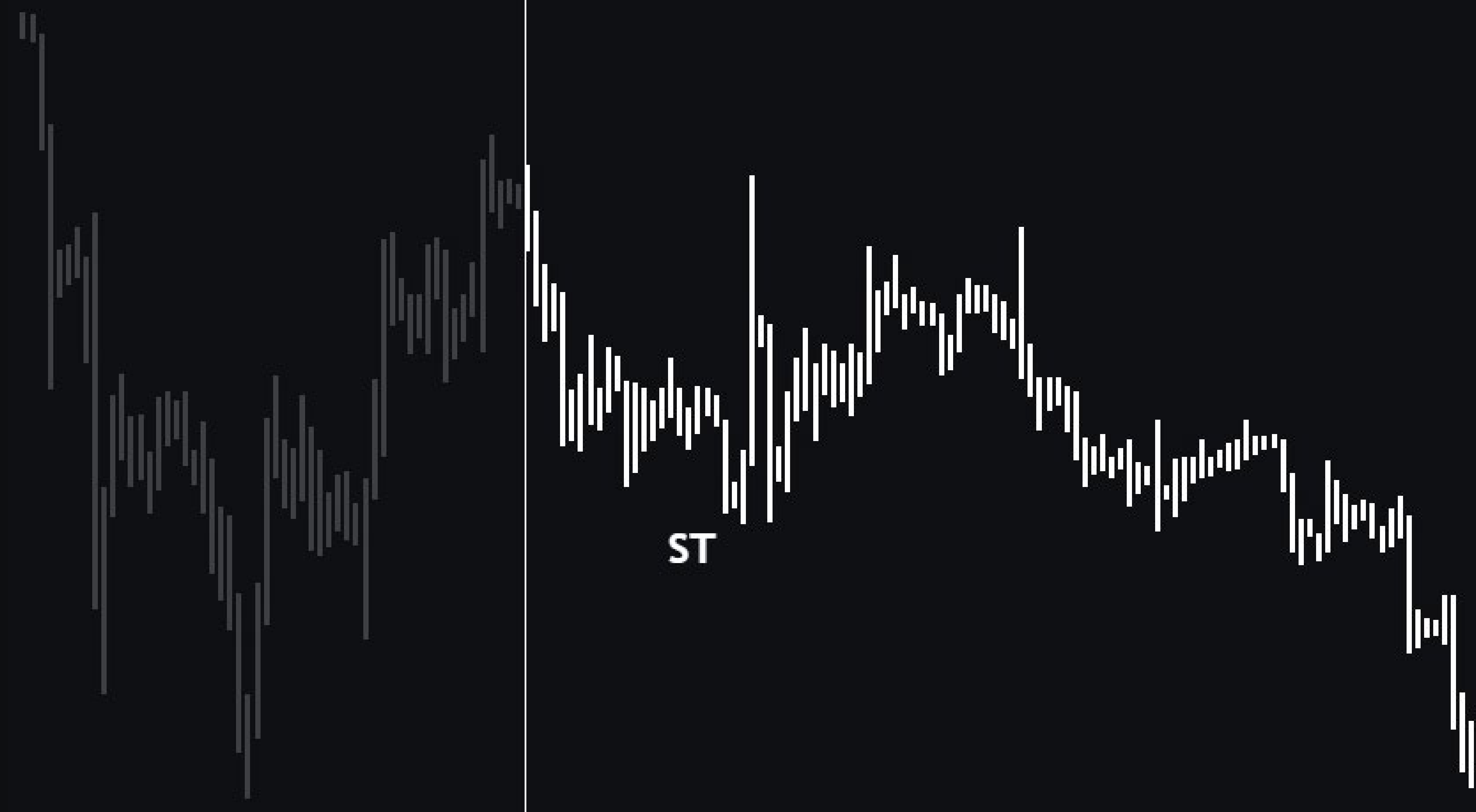
ST = Secondary Test.

Price retest the low of the SC to test supply and demand. On the retest, we want to see the demand increase (OI and new longs opening with increasing volume). This will help us confirm that we are in a great area of interest.



Phase A

Phase B



Note that the ST can occur in phase A after the AR but doesn't break the SC low. It can also occur again in Phase B, usually ending in an SFP or Failed Auction.

We want to see a sign of strength, like price breaking through downtrend trendlines.



Accumulation and Distribution Part I lesson (32:10)



Phase C

Phase A



Phase B



Phase C



Test

Spring

Spring.

We need to see a low volume move below the overall low of the range and then buy back up into the range on increased demand. In this stage, weak hands sell their final bags to professional traders. If we see an increase in sell volume and selling interest, another significant decline may occur.

Test.

After observing a move back into the range, the lower bounds of the range are tested, and support is found. Volume increases, and the market structure shifts to bullish thereafter (Demand increase).

On the other hand, if supply increases during the range-low test, it's considered a major red flag, and price can continue to the downside.



Accumulation and Distribution Part I lesson (35:25)



Phase D



LPS = Last Point of Supply.

This is the last point where there was a major S/R flip. Reclaiming this strong horizontal resistance as support is a major sign of strength and represents a change in probabilities, indicating higher is more likely. Once reclaimed, this level should not be lost again.

SOS = Sign of Strength.

A move above the range high on Open interest, Volume and Delta increases. Observing a quick move from the lower to the upper range is preferred but not required. This indicates that those who sold at the bottom are left on the sidelines, waiting for a dip that is unlikely to happen.

BU = Back Up.

Simply put, it's an R/S flip, and the pullback occurs on a volume and Open Interest decrease. It's considered the final buying opportunity before the range breakout. If the SOS is strong, it may be difficult to see a BU.

If the retest of the range high happens with an increase in supply, the move is likely to end in an SFP or Failed Auction, and we will continue to trade the range until it breaks.



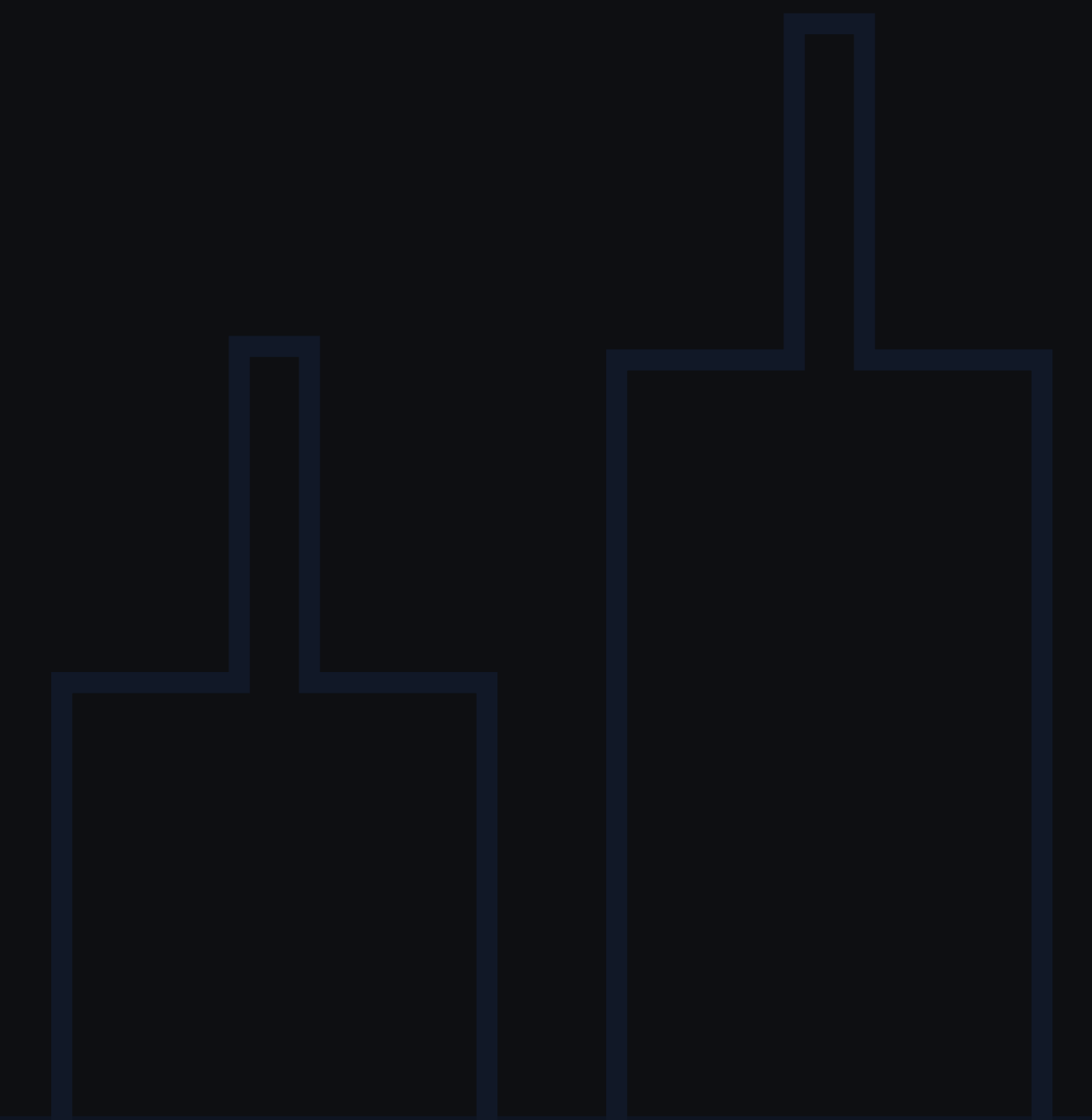
Accumulation and Distribution Part I lesson (40:07)



Phase E



In this phase E, we see strong moves to the upside, resulting in massive gains. By this time, we are out of all short trades from range highs and hedges and are letting the spot and leveraged longs run for large profits.



Accumulation and Distribution Part I lesson (47:05)



Distribution Patterns

Distribution patterns also go through
5 phases:

- Phase A
- Phase B
- Phase C
- Phase D
- Phase E



Accumulation and Distribution Part II lesson (4:50)

Distribution patterns occur after an extended uptrend when prices reach a significant resistance level. They happen quicker than Accumulation.

It's important to understand that nothing in trading is picture-perfect in terms of schematics, and we can expect discrepancies between the theory and a real scenario. An example is shown in the following image.





Phase A

PSY = Preliminary Supply.

After an extended uptrend, the smart money begins to take profits on their longs and build short positions.

BC = Buying Climax.

Euphoria dominates the market as people sit in profits, buying more every day and on every dip. Smart money uses this interest to fill large sell orders.



AR = Automatic Reaction.

The AR is a selloff fuelled by late longs being liquidated. Open interest decreases or stays flat. The bottom of this selloff gives us the range low.



Accumulation and Distribution Part II lesson (9:20)



Phase B

ST = Secondary Test.

Price retests the BC area to test demand/supply. The rally must occur on low volume, with Open interest decreasing. Each sell-off must be on higher volume. It is not always in phase B.

SOW = Sign of Weakness.

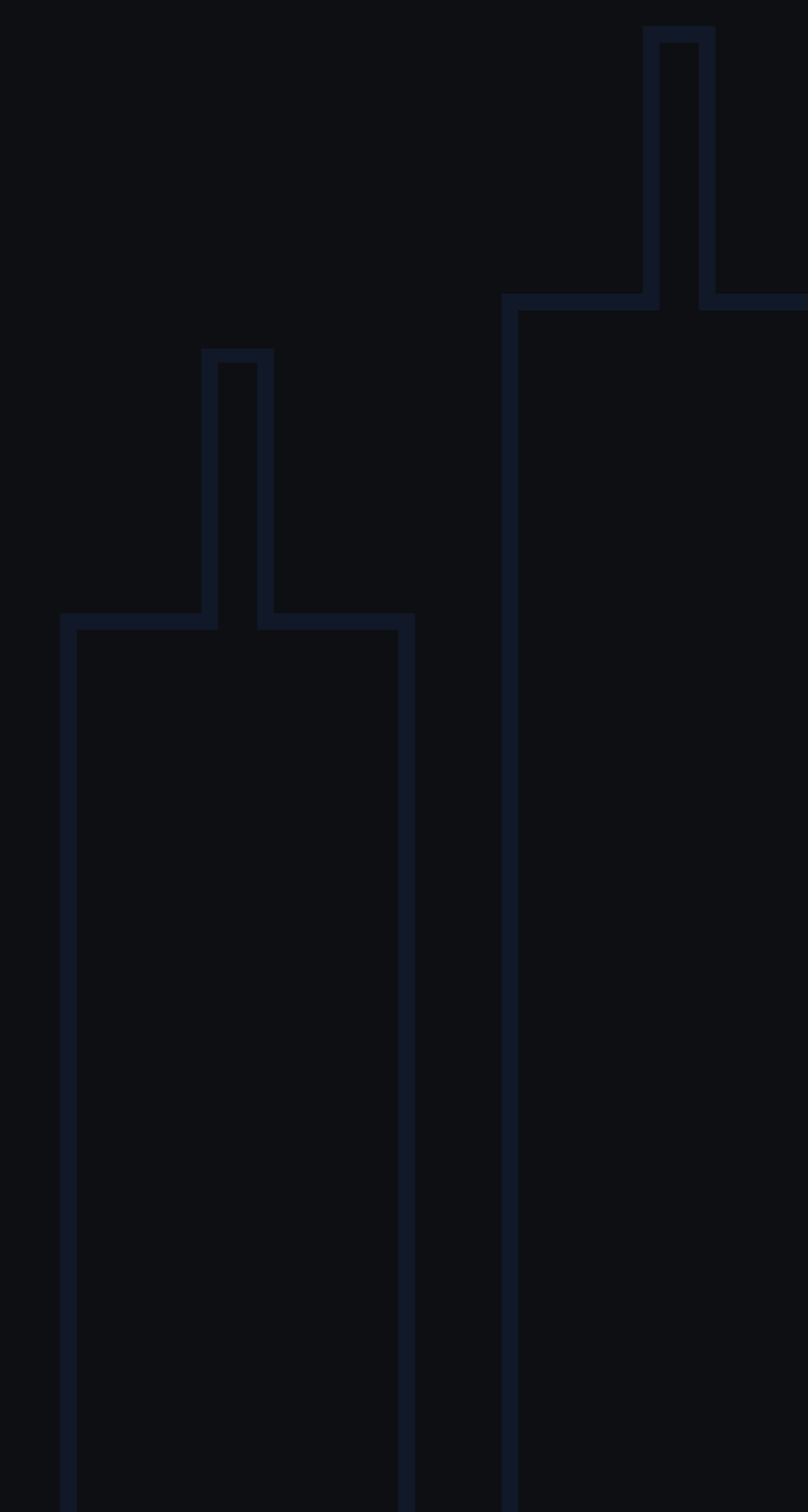
The SOW is a selloff that usually contains an increase in volume.

UT = Upthrust.

The UT is a rally from range low to range high, ending in an SFP or Failed Auction of range high above the BC. We want a new high made on low volume and a decrease in open interest.



Note that an increase in OI and Volume during the move-up invalidates the schematic, and we can expect higher prices.



Accumulation and Distribution Part II lesson (14:49)



Phase C



UTAD = Upthrust After Distribution.

This is the final move above the range high to stop out all early short traders. The UTAD should occur on low volume and decreasing Open interest. We do not always get a UTAD.

Test.

After observing a move back into the range, the range's high is tested, and resistance is found. Volume increases, and the market structure shifts to bearish thereafter (Supply increase). This is the same as the accumulation pattern but in the opposite direction.

Note that an increase in OI and Volume during the break out invalidates the schematic, and we can expect higher prices.



Accumulation and Distribution Part II lesson (21:36)



Phase D



LPS = Last Point of Supply.

This is the last point where there was a major R/S flip. Losing this strong horizontal support is a major sign of weakness and represents a change in probabilities, indicating lower is more likely. Once lost, this level should not be reclaimed again.

MSOW = Major Sign of Weakness.

This is a final loss of the range low. The selloff should occur on increasing volume.

According to Daniel's statistics, price crashes without a retest 58% of the time. If the price certainly does the retest, it should not reclaim the old range VAL. Reclaiming the old range VAL is a sign of strength, and we expect to continue trading the range until it breaks.



Accumulation and Distribution Part II lesson (28:47)



Phase E



After the MSOW we get a large drop to the downside. By this time, we are out of all long trades, letting the leveraged shorts run for large profits.



Accumulation and Distribution Part II lesson (32:40)



Reaccumulation

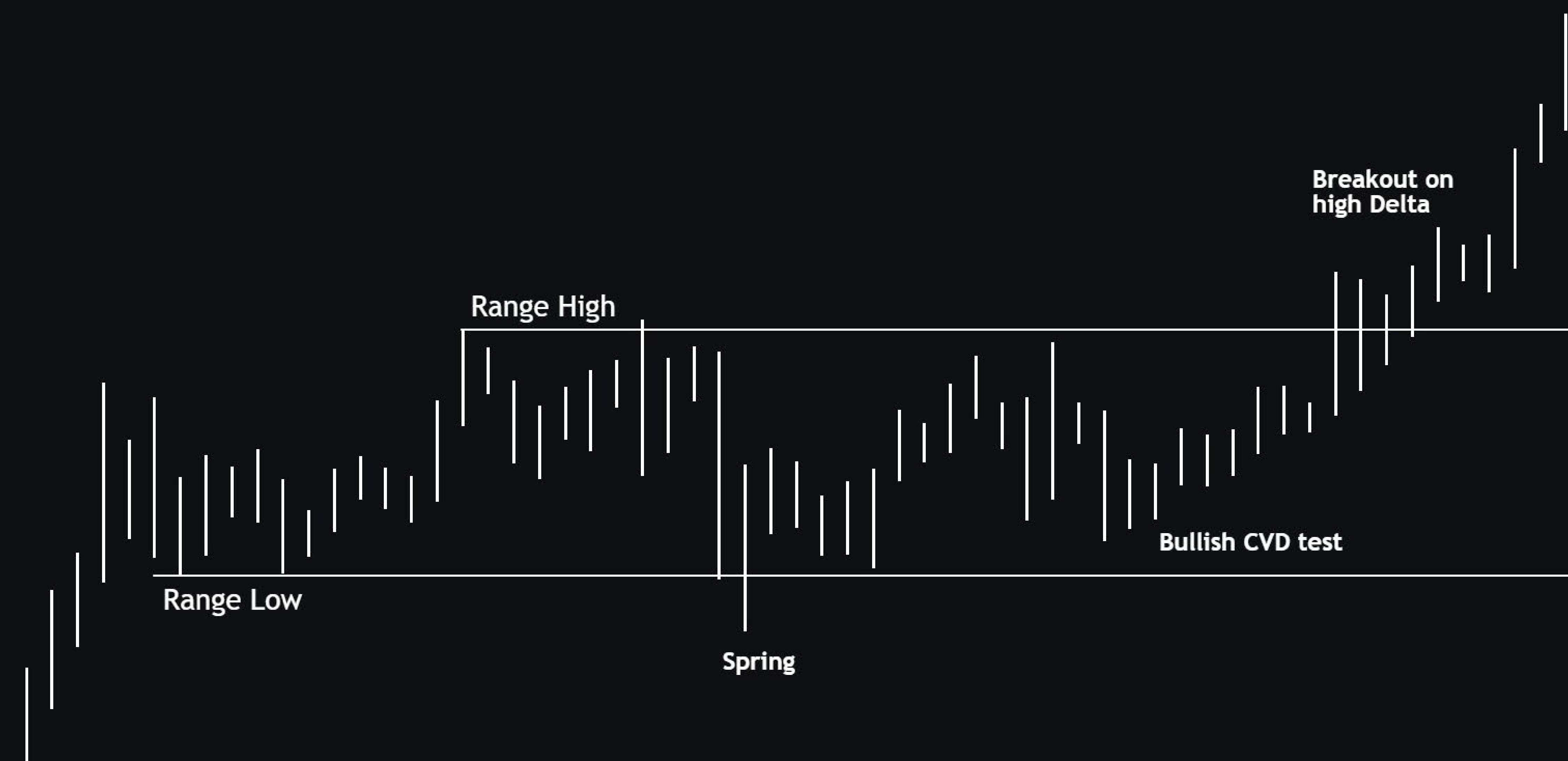
Reaccumulation is a range pattern that occurs after the price explosion markup phase. The price moves sideways before a breakout to the upside on continued demand. To keep it simple, we can look for a classic accumulation pattern.



Accumulation and Distribution Part III lesson (5:35)

Primary things to watch for:

- Market Structure: range low shouldn't be lost more than a wick or failed auction. Breaking range lows means no more long opportunities unless the price trades back into the range.
- Metrics: Volume, Open Interest, Delta (CVD).
- Market sentiment.
- Invalidation: A high negative delta during the loss of range low will invalidate the reaccumulation



In the following example, we can see reaccumulation after a breakout. We mark the Range High and Low, and then we look to trade the range until it breaks. Due to the context, we can expect a breakout to the upside. We should always monitor market structure and CVD divergences. Checking Volume, Delta, and Open interest becomes crucial during the breakout.



Redistribution

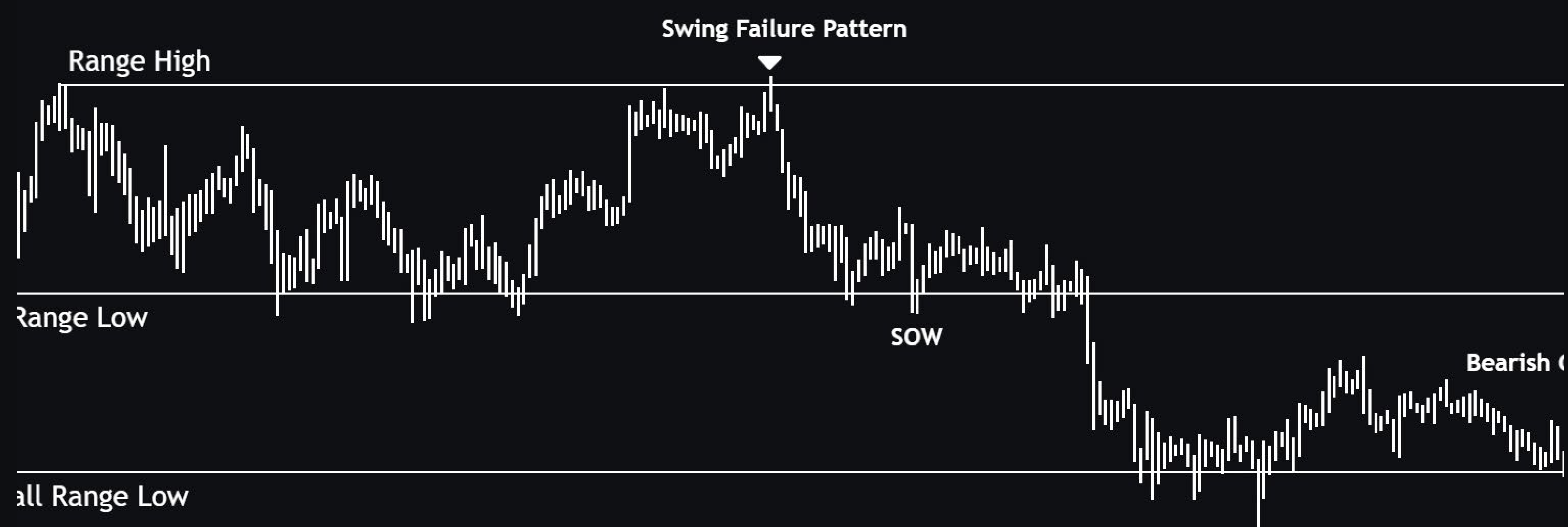
Redistribution is a range pattern that occurs after the price implosion markdown phase. The price moves sideways before a breakout to the downside. To keep it simple, we can look for a classic distribution pattern.



Accumulation and Distribution Part III lesson (15:13)

Primary things to watch for:

- Market Structure: range high shouldn't be reclaimed more than a wick or failed auction. Breaking range high means no more short opportunities unless the price trades back into the range.
- Metrics: Volume, Open Interest, Delta (CVD).
- Market sentiment.
- Invalidation: A high positive delta during the reclaim of range high will invalidate the redistribution.



This example shows redistribution after a downside impulse. Following a previous distribution, the bearish context leads to a downward price trend. We mark the range high (the first major high of the bounce) and low (the low of the wick). For this specific example, we also mark a sub-range low printed after the long wick. Once we identify our levels, we trade the range until it breaks.